BERNSTEIN
SOCIETE GENERALE GROUP

16 June 2026
Price Target Change

Asian Autos

Chinese Autos: Another soft month – Domestic sales -20% YoY, EV penetration holds at 61%; XPEV and LI model updates

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China auto wholesale -4.2% YoY in May, with domestic retail volume -20.0% and retail SAAR declined to 19.2mn units. We track mandatory first-time auto insurance volumes in China, which we believe gives the most accurate read on retail sell-through. May retail passenger vehicle sales totaled 1.51mn units, -20.0% yoy. The May retail SAAR of 19.2mn units is lower than 19.6 mn in April 2026 and our estimate of normalized annual demand of c.22mn units. May continued to reflect demand pulled forward by the 2024–2025 subsidy programs (which we estimate shifted over 5mn units), compounded by a high base. Absent policy support, domestic demand is likely to remain weak until at least November-December, when the base effect begins to normalize. *(Links to monthly sales volume trackers: PV Wholesale, and PV Retail.)*

May EV penetration edged higher to 61.0%, with BEVs accounting for 41.9% and PHEVs 19.1%. EV sales declined -5.1% YoY, with BEVs up +8.3% and PHEVs down -25.4%. The continuous strength in EV momentum suggests consumers are gradually adjusting to the higher purchase tax (raised to 5% from January 1, 2026, vs. nil. previously), alongside the impact of newly launched EV models that offer stronger pricing and product competitiveness. Rising gasoline prices also boost the operating economics of EVs. BYD Group reach 198k units with market share at 21.4%. Geely Group ranked second with 111k units and 12.0% share, followed by Leapmotor at 63k units (6.8%). Meanwhile, ICE demand slumped -35.8% YoY. Premium brand sales saw a -13.5% yoy decline in May and mass market brand cars plunged -21.1% yoy, reflecting ongoing weakness driven by a high comparison base and demand pulled forward by last year's subsidies.

Exports grew +73% yoy in May, with ICE +38% and EV +119%. Exports made up 35.9% of total PV wholesale, partially offsetting the weak domestic demand. BEV & PHEV exports contributed c.55% of total export volume. Chery continued to lead with 179k units (+79% yoy), followed by BYD with 156k (+85%) and Geely with 84k units (+180%).

Following a review of recent performance, we lowered our price targets for both XPeng and Li Auto while maintaining Market-Perform ratings. **For XPeng, we lowered price targets to US$20.00 for XPEV.US *(Old: US$22.00)* and HK$78.00 for 9868.HK *(Old: HK$86.00)***, based on a 1-year forward EV/sales multiple of 0.8x *(previously 1.0x)*, reflecting weaker earnings visibility amid elevated AI investments. While we acknowledge XPeng's strong autonomous driving capabilities, and meaningful progress in robotaxi and humanoids, near-term monetization remains limited. That said, we turn tactically positive on upcoming MONA launches. The MONA brand is well positioned in the mass market with strong tech at accessible prices: the M03 sedan has shown resilient volumes, the L03 compact SUV (launching in July) marks its SUV entry, and the planned L05 mid-large SUV should further refresh the lineup, support traffic, and drive interest. **For Li Auto, we lowered our targets to US$15.50 for LI.US (from US$19.00) and HK$61.00 for 2015.HK (from HK$74.00)**, based on lower earnings forecast and an unchanged blended valuation of 0.5x 1-year forward EV/sales and 15x P/E. Despite new-generation L-series EREVs and global expansion, we see limited upside due to intensifying competition, margin pressure, and rising investment, and expect the company to post a net loss this year.

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BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	16 Jun 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Reported EPS 2025A	Reported EPS 2026E	Reported EPS 2027E	Reported P/E (x) 2025A	Reported P/E (x) 2026E	Reported P/E (x) 2027E
1211.HK (BYD)	O	HKD	84.05	136.00	(79.0)%	CNY	3.58	4.90	6.90	20.2	14.8	10.5
002594.CH (BYD)	O	CNY	89.64	124.00	(65.7)%	CNY	3.58	4.90	6.90	25.0	18.3	13.0
1810.HK (Xiaomi)	O	HKD	25.62	43.00	(79.1)%	CNY	1.62	1.02	1.77	13.6	21.6	12.5
175.HK (Geely)	O	HKD	19.52	25.00	(24.9)%	CNY	1.67	1.82	2.26	10.1	9.3	7.4
LI (Li Auto)	M	USD	14.38	**15.50**	(75.4)%	CNY	1.13	**(4.88)**	**2.27**	85.9	(19.9)	42.8
OLD				19.00				(2.33)	6.40			
2015.HK (Li Auto)	M	HKD	55.95	**61.00**	(93.4)%	CNY	0.57	**(2.44)**	**1.13**	85.3	(19.8)	42.5
OLD				74.00				(1.17)	3.20			
XPEV (XPeng)	M	USD	14.49	**20.00**	(48.7)%	CNY	(1.20)	**(2.03)**	**0.45**	(81.8)	(48.2)	216.8
OLD				22.00				(2.99)	0.60			
9868.HK (XPeng)	M	HKD	55.20	**78.00**	(69.0)%	CNY	(0.60)	**(1.02)**	**0.23**	(79.6)	(46.8)	210.8
OLD				86.00				(1.50)	0.30			
NIO (NIO)	M	USD	5.20	6.00	21.3%	CNY	(6.85)	(1.62)	(0.49)	(5.1)	(21.7)	(71.4)
9866.HK (NIO)	M	HKD	40.68	47.00	4.4%	CNY	(6.85)	(1.62)	(0.49)	(5.1)	(21.7)	(71.3)
2333.HK (Great Wall-H)	M	HKD	10.37	13.00	(58.5)%	CNY	1.16	1.21	1.40	7.7	7.4	6.4
2238.HK (GAC)	M	HKD	2.39	3.00	(59.6)%	CNY	(0.85)	(0.13)	(0.01)	(2.4)	(15.9)	(323.9)
600104.CH (SAIC)	M	CNY	10.65	15.00	(77.1)%	CNY	0.89	0.97	1.05	12.0	10.9	10.1
ASIAX			2,021.18									
SPX			7,554.29									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We maintain a cautious outlook for the sector. The reduction in subsidies and a 5% purchase tax hike on EVs are expected to slow market momentum. This follows strong demand pulled forward into 2024-2025 and a high comparison base, while macro headwinds and weak consumer sentiment persist. The industry will also face pressure from material cost inflation headwinds. We expect industry wholesale volumes to reach 28-29 mn units, falling 4-8% yoy. We forecast domestic retail demand of 21-22mn units, declining 5-9% yoy. Exports should remain a growth driver, arriving at 6.5-7mn units, growing 10-20% yoy.

The long term secular growth outlook for EVs remains intact and even though EV transition has come to the mass adoption phase in China, we forecast domestic EV sales growth will be c.5-10% for 2026 and drive EV penetration to 61%. We believe competition within the domestic market will remain intense and overseas markets are increasingly important as a strategic growth opportunity. For our EV names, we rate **BYD and Xiaomi Outperform**, and **XPeng, Li Auto, and NIO Market-Perform**. Within our traditional Chinese OEMs coverage, we rate **Geely Outperform** and **Great Wall, GAC, and SAIC Market-Perform.**

Recent research highlights:

4 Jun 2026 - China Smartphone Tracker (April): Pressure spreading to mid-end & price hikes facing resistance

3 Jun 2026 - EV TRACKER - April 2026: New markets lead recovery in global EV sales

29 May 2026 - Li Auto: Q1 margin slump on i6, widened losses; International expansion accelerates but turnaround unclear

29 May 2026 - XPeng: Q1 Resilient gross margin; Bullish tone on GX

27 May 2026 - Xiaomi Q1: Resilience on display amid memory cycle; fundamentals reinforced — reiterate Outperform

22 May 2026 - NIO: Q1 clean beat, Q2 strong guide — mix wins, R&D risks

21 May 2026 - Artificial Intelligence: Sooner or Later

19 May 2026 - Chinese Autos: April SAAR 19.6mn units; Volumes -20% yoy, ICE slumps (-34%), while EV surges (60% penetration) and export robust (+85%)

18 May 2026 - China Autos Export Tracker: Q1 2026 exports +63% yoy, EV surges with BEV +113% and PHEV +146%; Chinese brands extend global footprint

11 May 2026 - China Smart Driving Chips Tracker (1Q26): NOA penetration temporarily dropped to 32% with weaker EV sales

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VALUATION COMPS TABLE

EXHIBIT 1: **Global autos comps sheet**

		Market cap	EV	Cars Sold	P/E			EV/EBITDA			EV/SALES			Dividend yield			FCF Yield	EBIT%	ROCE	Net debt / EBITDA		
		$m	$m	m	CY	NTM+1	NTM+2	CY	NTM+1	NTM+2	CY	NTM+1	NTM+2	CY	FY+1	FY+2	FY+2	FY+1	FY+1	CY	FY+1	FY+2
BYD		113,271	126,845	4.6	19.0x	14.8x	12.5x	6.8x	5.8x	5.0x	0.9x	0.8x	0.8x	1.3%	1.3%	1.3%	6.5%	5.9%	15.1%	-0.1x	-0.4x	-0.9x
Xiaomi		86,616	77,519	0.4	19.0x	14.3x	11.5x	13.7x	10.3x	8.1x	1.1x	0.9x	0.8x	0.0%	0.0%	0.0%	7.4%	7.6%	13.9%	-0.2x	-0.8x	-0.8x
Li		15,212	6,798	0.4	n.a.	19.8x	12.6x	21.6x	5.6x	4.0x	0.4x	0.3x	0.3x	0.0%	0.0%	0.0%	8.4%	2.2%	4.0%	-32.0x	-9.0x	-7.3x
XPeng		13,870	13,369	0.4	n.a.	61.2x	23.4x	n.a.	28.3x	14.9x	1.0x	0.8x	0.7x	0.0%	0.0%	0.0%	7.2%	0.3%	0.7%	62.7x	-7.3x	-5.0x
NIO		13,055	13,773	0.3	n.a.	32.7x	17.3x	14.0x	9.1x	7.2x	0.7x	0.6x	0.5x	0.0%	0.0%	0.0%	8.2%	1.2%	5.1%	-2.1x	-2.0x	-2.0x
China EVs		**242,024**	**238,305**	**6.2**	**23.6x**	**16.0x**	**12.6x**	**9.3x**	**7.3x**	**6.1x**	**0.9x**	**0.8x**	**0.7x**	**0.6%**	**0.6%**	**0.6%**	**7.0%**	**5.4%**	**12.4%**	**-0.7x**	**-1.0x**	**-1.3x**
Geely		27,587	26,256	3.0	8.8x	7.3x	6.2x	5.1x	4.4x	3.8x	0.4x	0.4x	0.3x	3.3%	3.3%	3.3%	14.7%	5.5%	21.2%	-1.5x	-1.7x	-1.9x
Great Wall		19,489	18,881	1.3	12.0x	10.0x	9.0x	6.2x	5.6x	5.1x	0.5x	0.4x	0.4x	4.2%	4.2%	4.2%	4.8%	5.3%	11.3%	-1.0x	-0.5x	-0.7x
SAIC		18,354	29,635	4.5	10.5x	9.0x	8.3x	5.9x	5.4x	4.8x	0.3x	0.3x	0.3x	3.1%	3.1%	3.1%	7.7%	3.5%	4.5%	-2.8x	-2.7x	-2.2x
GAC		7,330	10,462	1.7	n.a.	n.a.	30.7x	17.8x	13.3x	9.1x	0.6x	0.6x	0.5x	0.0%	0.0%	0.0%	-12.9%	-3.4%	-3.0%	1.2x	2.2x	0.6x
China OEMs		**72,759**	**85,234**	**10.6**	**11.4x**	**9.4x**	**8.1x**	**6.2x**	**5.4x**	**4.8x**	**0.4x**	**0.4x**	**0.3x**	**3.2%**	**3.2%**	**3.2%**	**7.5%**	**3.9%**	**6.6%**	**-1.7x**	**-1.6x**	**-1.6x**
Mercedes-Benz	§	55,169	25,486	2.2	8.7x	7.0x	6.2x	1.4x	1.3x	1.2x	0.2x	0.2x	0.2x	7.0%	7.0%	7.0%	10.1%	6.3%	4.2%	-2.4x	-2.2x	-2.2x
Volkswagen	§	53,127	48,262	9.0	4.8x	3.9x	3.5x	0.9x	0.8x	0.8x	0.1x	0.1x	0.1x	6.2%	6.2%	6.2%	16.6%	5.2%	3.6%	-0.7x	-0.9x	0.3x
BMW	§	49,326	35,243	2.5	6.8x	5.9x	5.3x	1.7x	1.6x	1.5x	0.2x	0.2x	0.2x	5.7%	5.7%	5.7%	13.0%	7.7%	5.1%	3.0x	1.9x	0.5x
Stellantis	*	20,011	15,656	5.5	9.6x	4.4x	3.3x	1.3x	1.1x	0.9x	0.1x	0.1x	0.1x	1.5%	1.5%	1.5%	4.2%	3.2%	5.4%	-0.4x	-0.3x	-0.1x
Renault	§	9,954	5,693	2.3	5.0x	4.8x	4.4x	0.8x	0.8x	0.8x	0.1x	0.1x	0.1x	7.6%	7.6%	7.6%	17.7%	5.0%	3.2%	-1.3x	-1.4x	-1.5x
Volvo Cars	&	7,027	5,991	0.7	8.4x	5.7x	4.8x	1.6x	1.4x	1.3x	0.2x	0.2x	0.2x	0.0%	0.0%	0.0%	17.0%	4.7%	8.7%	-0.7x	-0.7x	-0.8x
EU OEMs		**194,614**	**136,330**	**22.1**	**6.6x**	**5.2x**	**4.5x**	**1.2x**	**1.1x**	**1.0x**	**0.1x**	**0.1x**	**0.1x**	**5.7%**	**5.7%**	**5.7%**	**13%**	**5.4%**	**4.2%**	**-0.3x**	**-0.6x**	**-0.2x**
GM	*	73,486	72,220	6.2	6.4x	6.0x	6.5x	3.3x	3.2x	3.2x	0.4x	0.4x	0.4x	0.8%	0.8%	0.8%	13.2%	8.1%	7.1%	-0.2x	-0.3x	-0.4x
Ford	*	59,133	56,980	4.4	8.9x	8.2x	7.8x	4.3x	4.0x	3.6x	0.3x	0.3x	0.2x	4.1%	4.1%	4.1%	5.0%	5.7%	5.8%	-0.3x	-0.4x	-0.5x
US OEMs		**132,619**	**129,200**	**10.6**	**7.3x**	**6.8x**	**7.0x**	**3.7x**	**3.5x**	**3.4x**	**0.4x**	**0.3x**	**0.3x**	**2.3%**	**2.3%**	**2.3%**	**10%**	**6.9%**	**6.5%**	**-0.3x**	**-0.4x**	**-0.4x**
Tesla	*	1,526,439	1,498,272	1.6	232.9x	177.6x	128.5x	102.0x	79.8x	61.5x	14.6x	12.7x	10.9x	0.0%	0.0%	0.0%	-0.2%	6.9%	7.7%	-1.4x	-1.0x	-0.5x
Rivian	*	21,125	22,897	0.0	n.a.	n.a.	n.a.	n.a.	n.a.	520.4x	3.3x	2.0x	1.4x	0.0%	0.0%	0.0%	-16.6%	-28.2%	-33.6%	0.8x	3.0x	-42.5x
Polestar	*	2,449	5,281	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	1.4x	1.0x	0.7x	0.0%	0.0%	0.0%	-20.6%	-14.1%	61.5%	-4.1x	-5.2x	-39.5x
Lucid	*	2,029	6,887	0.0	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	3.4x	1.7x	1.0x	0.0%	0.0%	0.0%	-126.9%	-62.3%	-41.0%	-0.4x	-1.4x	-4.7x
US EVs		**1,552,042**	**1,533,336**	**1.7**	**n.a.**	**659.0x**	**213.8x**	**167.8x**	**99.7x**	**65.4x**	**13.3x**	**11.0x**	**9.1x**	**0.0%**	**0.0%**	**0.0%**	**-0.6%**	**1.1%**	**1.3%**	**-2.0x**	**-1.1x**	**-0.3x**
Toyota	%	286,298	223,601	9.6	12.5x	11.1x	10.5x	5.9x	5.3x	5.1x	0.7x	0.7x	0.6x	3.6%	3.6%	3.6%	3.4%	8.4%	5.3%	5.5x	3.5x	4.6x
Honda	%	41,273	96,279	2.7	16.9x	8.3x	6.9x	11.5x	7.6x	6.4x	0.7x	0.7x	0.6x	4.9%	4.9%	4.9%	4.5%	4.8%	4.3%	6.2x	4.1x	4.2x
Suzuki	%	23,715	27,153	3.6	9.5x	8.8x	7.9x	5.1x	4.6x	4.3x	0.6x	0.6x	0.6x	2.7%	2.7%	2.7%	7.6%	9.4%	13.3%	-0.8x	-1.0x	-1.2x
Subaru	%	11,504	2,085	0.9	10.6x	8.8x	8.0x	0.9x	0.7x	0.7x	0.1x	0.1x	0.1x	4.7%	4.7%	4.7%	12.6%	4.7%	8.0%	-1.5x	-1.5x	-1.5x
Nissan	%	8,278	3,700	2.4	51.6x	8.5x	7.6x	1.1x	0.9x	0.9x	0.0x	0.0x	0.0x	0.8%	0.8%	0.8%	18.7%	2.0%	1.8%	12.0x	9.7x	10.3x
Mazda	%	4,666	2,120	1.1	8.4x	6.4x	5.6x	1.3x	1.2x	1.1x	0.1x	0.1x	0.1x	4.7%	4.7%	4.7%	10.2%	3.0%	5.8%	-1.4x	-1.3x	-1.4x
Mitsubishi	*	3,074	3,076	1.0	16.1x	10.6x	8.4x	2.7x	2.5x	2.5x	0.2x	0.2x	0.1x	3.1%	3.1%	3.1%	1.2%	3.5%	8.5%	-0.6x	-0.7x	-0.9x
Japanese OEMs		**378,808**	**358,013**	**21.3**	**12.7x**	**10.3x**	**9.5x**	**5.9x**	**5.1x**	**4.7x**	**0.5x**	**0.5x**	**0.5x**	**3.7%**	**3.7%**	**3.7%**	**4.5%**	**6.4%**	**5.1%**	**4.8x**	**3.3x**	**3.8x**
Hyundai	*	87,875	199,633	4.1	12.5x	11.4x	10.6x	16.8x	15.2x	14.2x	1.6x	1.5x	1.4x	1.8%	1.8%	1.8%	2.3%	6.8%	4.3%	7.4x	6.8x	6.7x
Kia	*	43,604	29,754	3.1	7.8x	7.2x	6.7x	3.4x	3.2x	3.0x	0.4x	0.4x	0.3x	4.0%	4.0%	4.0%	12.3%	8.6%	16.0%	-1.6x	-1.8x	-2.0x
Korean OEMs		**131,479**	**229,387**	**7.3**	**10.4x**	**9.6x**	**8.9x**	**11.1x**	**10.2x**	**9.5x**	**1.1x**	**1.1x**	**1.0x**	**2.5%**	**2.5%**	**2.5%**	**6%**	**7.5%**	**6.3%**	**3.6x**	**3.2x**	**3.1x**
Ferrari	§	62,644	55,032	0.014	31.8x	29.1x	27.0x	16.1x	14.8x	13.9x	6.3x	5.8x	5.5x	1.2%	1.2%	1.2%	3.1%	30.1%	35.4%	0.1x	-0.1x	-0.3x
Porsche AG	§	53,057	49,924	0.3	27.6x	21.5x	16.9x	6.9x	6.2x	5.7x	1.2x	1.2x	1.1x	1.9%	1.9%	1.9%	3.7%	8.4%	7.9%	1.3x	1.3x	1.5x
Aston Martin	&	584	2,402	0.005	n.a.	n.a.	n.a.	6.1x	4.9x	4.2x	1.2x	1.1x	1.1x	0.0%	0.0%	0.0%	-2.5%	-0.2%	-0.2%	4.9x	4.0x	3.3x
Luxury OEMs		**116,285**	**107,359**	**0.3**	**32.0x**	**26.2x**	**21.7x**	**9.7x**	**8.8x**	**8.0x**	**2.1x**	**2.0x**	**1.9x**	**1.5%**	**1.5%**	**1.5%**	**3.4%**	**11.9%**	**11.5%**	**1.1x**	**1.0x**	**1.0x**
Global OEMs (ex EV)		**1,026,564**	**1,045,521**	**72.2**	**10.2x**	**8.6x**	**7.8x**	**4.1x**	**3.7x**	**3.5x**	**0.4x**	**0.4x**	**0.4x**	**3.4%**	**3.4%**	**3.4%**	**8%**	**6.1%**	**5.2%**	**1.2x**	**0.7x**	**1.0x**
Global EVs		**1,794,065**	**1,771,641**	**7.9**	**201.4x**	**102.8x**	**67.9x**	**51.0x**	**36.9x**	**28.3x**	**4.7x**	**4.1x**	**3.6x**	**0.1%**	**0.1%**	**0.1%**	**0%**	**4.0%**	**7.0%**	**-1.1x**	**-1.0x**	**-0.9x**

Pricing date: Jun 15, 2026; § covered by Bernstein's Stephen Reitman; & covered by Bernstein's Harry Martin; % covered by Bernstein's Masahiro Akita* not covered by Bernstein; calculated EVs exclude finco debt
Source: Bloomberg, Bernstein analysis

DETAILS

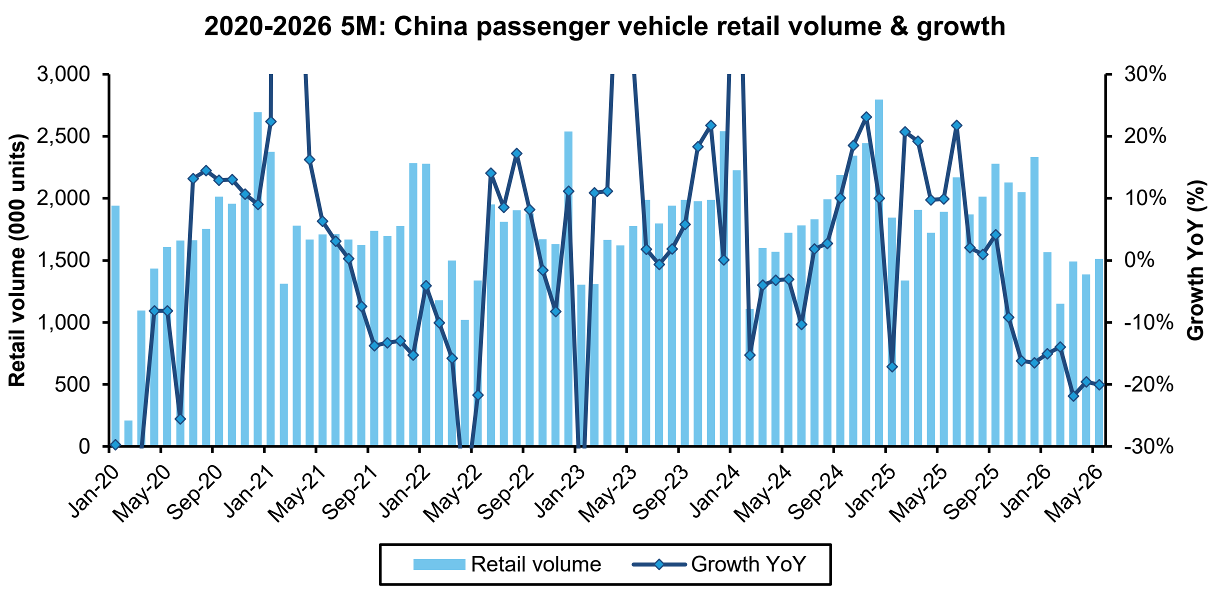
CHINESE AUTOS RETAIL SELL-THROUGH WAS 1.51MN UNITS, -20.0% YOY, IN MAY 2026

Chinese autos retail sales, as measured by mandatory first-time insurance volumes, came in at1.51mn units in May 2026, -20.0% yoy. Retail SAAR for May 2026 registered at 19.2mn units, lower than 19.6 mn in April 2026, 24.1mn units in May 2025 and our full year forecast of c.22mn units for Chinese autos demand. (Exhibit 2)

May volumes weak, pressured by the pull-forward effects of last year's subsidy program. Consumer demand remains subdued, with buyers exhibiting high price sensitivity and waiting for more attractive discounts or policy support.

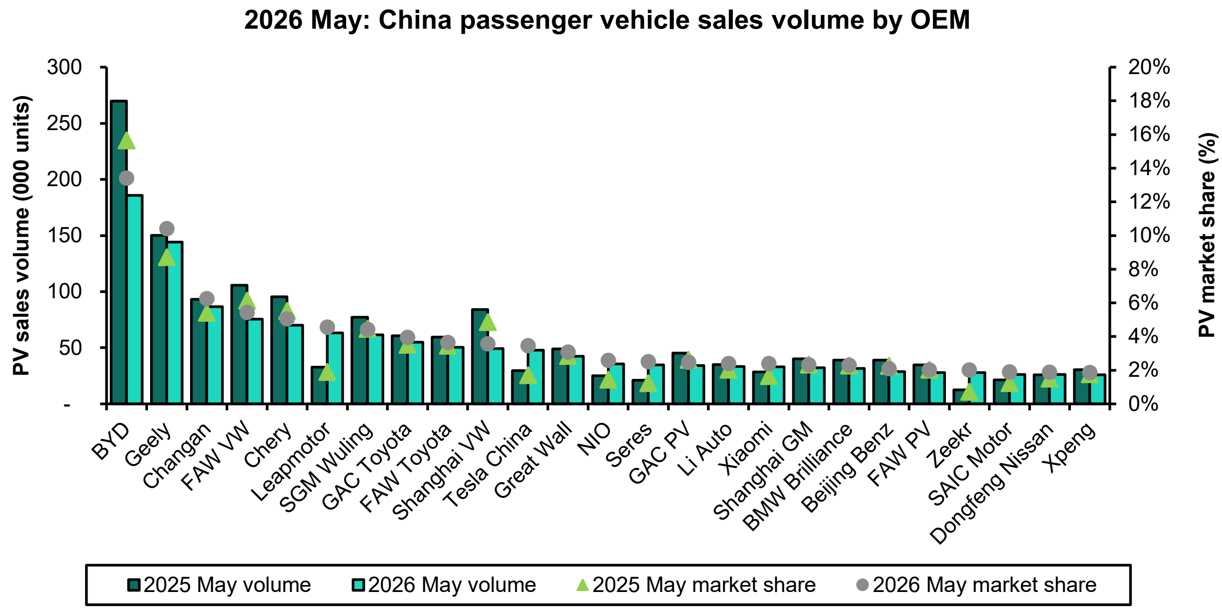
Across OEMs, mass market EV makers recorded some of the steepest declines, with BYD -30% and XPeng -15% yoy. Performance of premium EV brands diverged: NIO +41%, supported by a strong product cycle and low comparison base, Tesla grew + 22%, and Xiaomi grew +18% driven by the deliveries of the new SU7; while Huawei-backed AITO -3%. Among traditional Chinese automakers, SGM Wuling declined -20%, Chery -27%, Geely +6%, and Changan -7%. Select JVs showed signs of stabilization, with VW -29%, FAW Toyota -15%, GAC Toyota -10%, Dongfeng Nissan 1% (partially driven by channel inventory build up), while Honda continued to lag, posting a -45% decline across both of its JVs. (Exhibit 3 - Exhibit 4)

EXHIBIT 2: **Chinese autos retail sales came in at 1.51mn units in May 2026, -20.0% yoy**



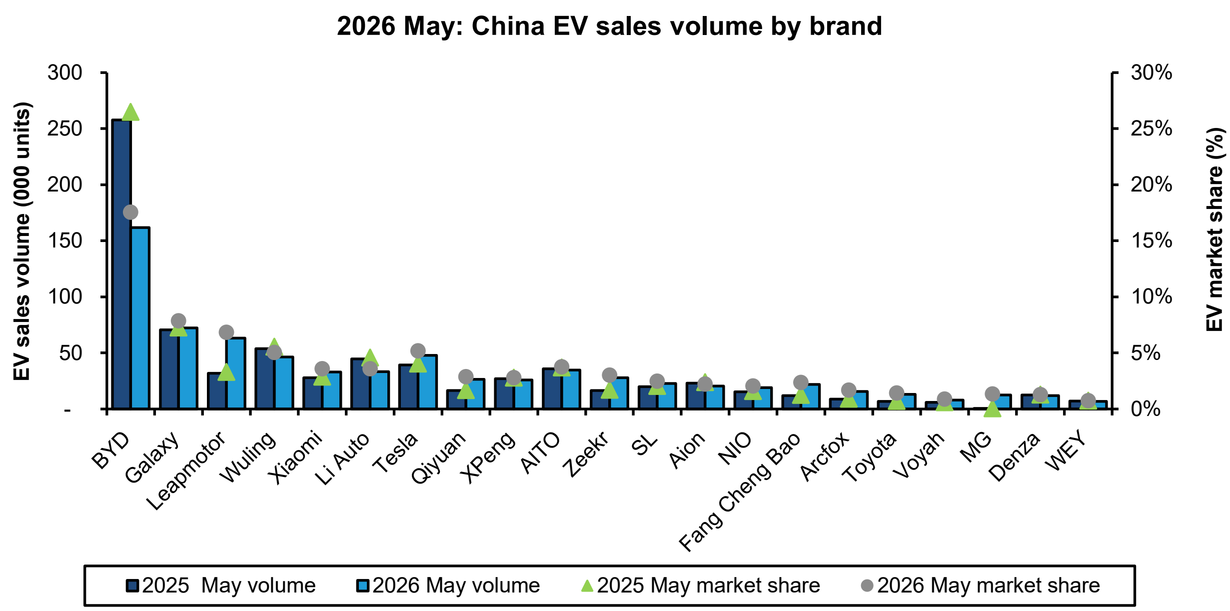
Source: C.A.D. and Bernstein analysis

EXHIBIT 3: **BYD Group (incl. BYD, Denza, Fangchengbao, and Yangwang) came back to the top with 186k units, 13.4% share, followed by Geely Group (incl. Galaxy, Geometry, Zeekr, and Lynk&Co) with 144k units, 10.4% PV market share, and Changan with 87k units, 6.3% share**



Source: C.A.D. and Bernstein analysis

EXHIBIT 4: **BYD Group remained the largest EV seller in China with volume and share stabilizing to 198k units and 21.4%; Geely Group ranked second with 111k units and 12% share, followed by Leapmotor at 63k units (6.8%)**

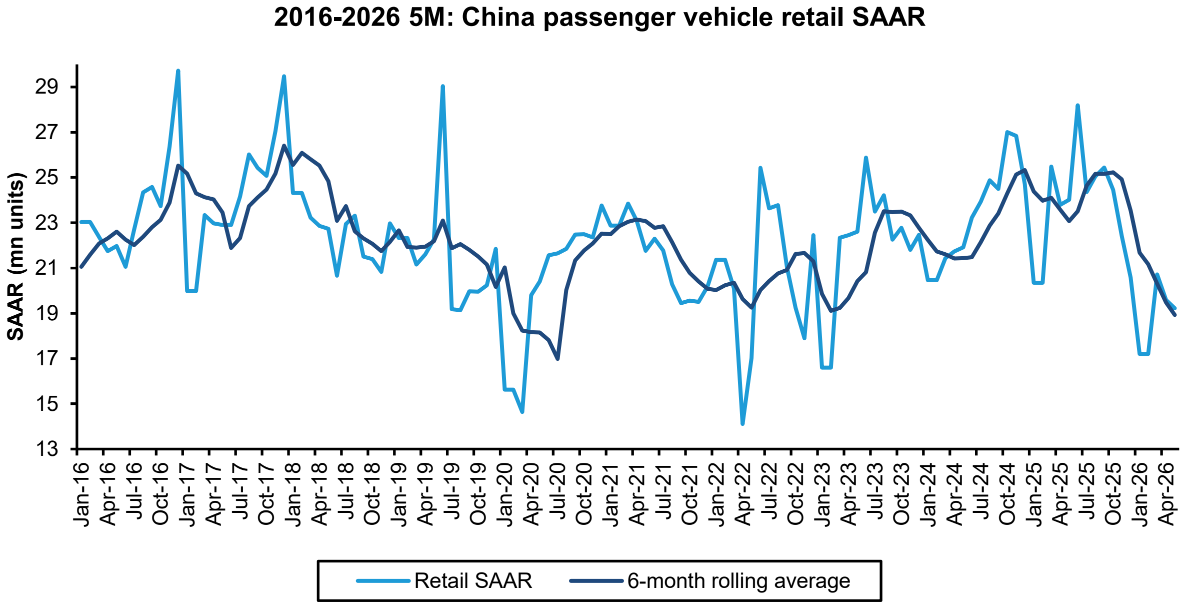


Source: C.A.D. and Bernstein analysis

19.6MN UNITS OF RETAIL SAAR FOR MAY 2026

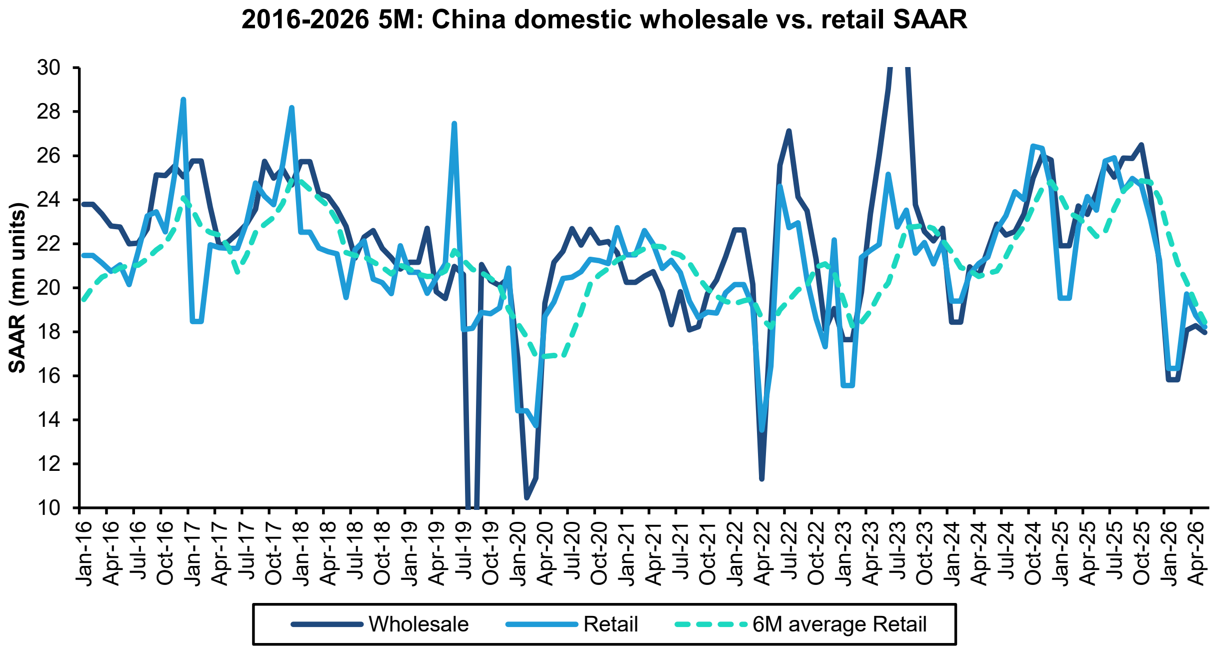
We maintain an estimate of retail SAAR in China, based on historical monthly seasonality, adjusted for the timing of Lunar New Year holidays. We calculated that average retail SAAR for May 2026 came in at 19.2mn units (Exhibit 5), lower than 19.5 mn units in April 2026, and trending below our estimate of c.22mn units for normalized annual Chinese autos demand. Excluding both imports and exports, we estimate that the average of aggregate SAAR of cars produced and sold domestically in China reached 18.0mn units in April, lower than the domestic retail SAAR of 18.2mn units (Exhibit 6). On a 6-month rolling basis, our estimate for domestic-only wholesale SAAR was 18.2mn units, lower vs. domestic-only retail SAAR of 18.4mn units.

EXHIBIT 5: **After a sharp decline during COVID, China's PV SAAR rebounded strongly. However, growth has slowed in recent months, with April 2026 dropping to 19.6mn units, down from 20.7mn in March 2026 and well below 23.6mn in April 2025**



Note: For January and February of each year we've shown aggregate 2M retail SAAR, to minimize the volatility driven by Lunar New Year timing.
Source: C.A.D., Bernstein estimates and analysis

EXHIBIT 6: **Excluding both imports and exports, we estimate that the average of aggregate SAAR of cars produced and sold domestically in China reached 18.0mn units in May, lower than the domestic retail SAAR of 18.2mn units**

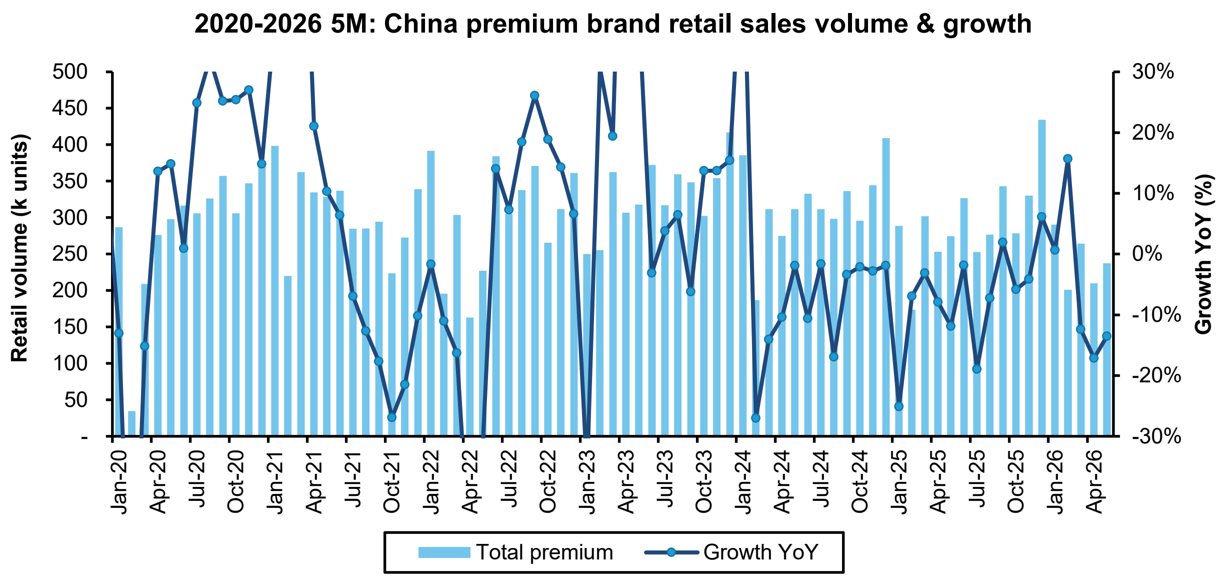


Note: For January and February of each year we've shown aggregate 2M retail SAAR, to minimize the volatility driven by Lunar New Year timing.
Source: CAAM, C.A.D., and Bernstein estimates and analysis

PREMIUM BRAND SALES -13.5% VS. MASS MARKET -21.1%YOY IN MAY 2026

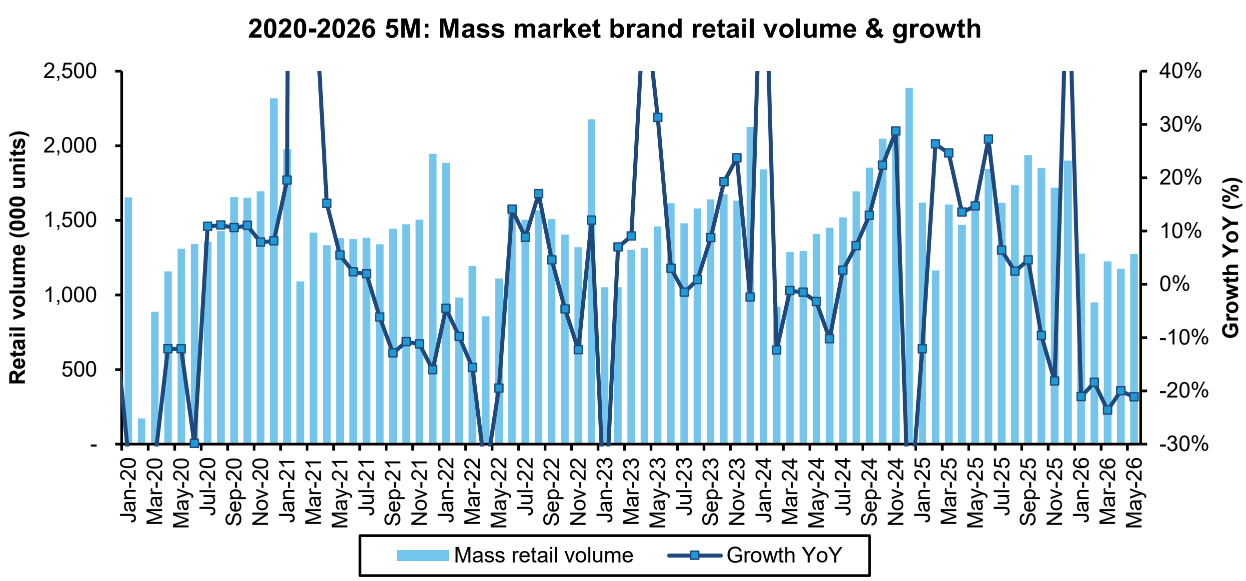
Premium brand sales saw a -13.5% yoy decline in May (Exhibit 7). Overall premium penetration increased to 15.7% in May from 15.1% in April 2026, and higher than 14.5% in May 2025. Retail sales volume of mass market brand cars plunged -21.1% yoy, reflecting ongoing weakness driven by a high comparison base and demand pulled forward by last year's subsidies. The sales of locally-built premium brand cars dropped by -8.8% yoy and import premium retail sales tumbled -38.4% yoy in May 2026 (Exhibit 8). Among major traditional premium brands, BMW posted the weakest performance with a -34% decline, while Audi fell -33% and Mercedes -26%. Porsche also reported a -31% drop.

EXHIBIT 7: **Retail volumes of premium market brand cars declined by -13.5% yoy for May**



Source: C.A.D. and Bernstein analysis

EXHIBIT 8: **Retail sales volume of mass market brand cars plunged -21.1% yoy in May**



Source: C.A.D. and Bernstein analysis

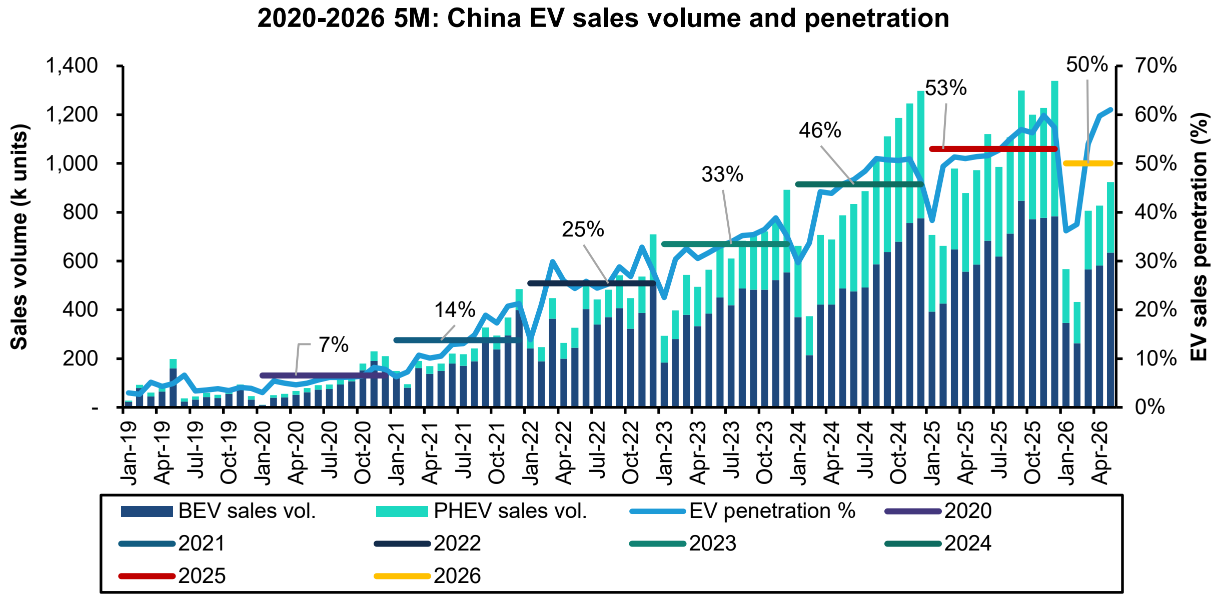
OVERALL EV SALES PENETRATION REACHED 61% IN MAY 2026

Overall EV sales (BEV & PHEV) fell -5.1% YoY to 923k units in May, but showed improvement from April (-5.8% YoY), as consumers get used to higher purchase tax rate (5%) and welcome the rollout of new models. Rising oil price also help. BEV sales grew +8.3% yoy while PHEV fell -25.4% yoy. Overall EV sales penetration grew to 61.0% in May 2026, with BEV penetration reaching 41.9% and PHEV at 19.1%. As of May 2026, BEV penetration rates in tier 1, 2, and 3 cities came in at 42%, 37%, and 32%, respectively; and PHEV penetration maintained 17% across Tier 1, 2, and 3 cities. (Exhibit 9 — Exhibit 12)

BYD Group remained the largest EV seller in China volume and share stabilizing at 198k units and 21.4%. Geely Group ranked second with 111k units and 12.0% share, followed by Leapmotor at 63k units (6.8%). Other EV pure-plays included Tesla 48k

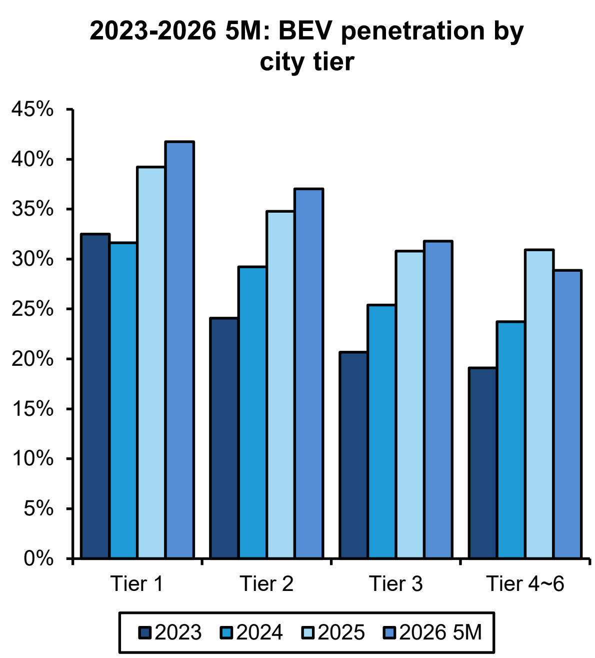
(5.2%), NO 36k (3.9%), AITO 35k (3.8%), Xiaomi 33k (3.6%), Li Auto 33k (3.6%), XPeng 25k (3.1%). (Exhibit 4)

EXHIBIT 9: **Overall EV sales (BEV & PHEV) growth fell -5.8% YoY to 828k units in April, but improved from March (-17.7%), underpinned by the rollout of new models and rising oil prices**



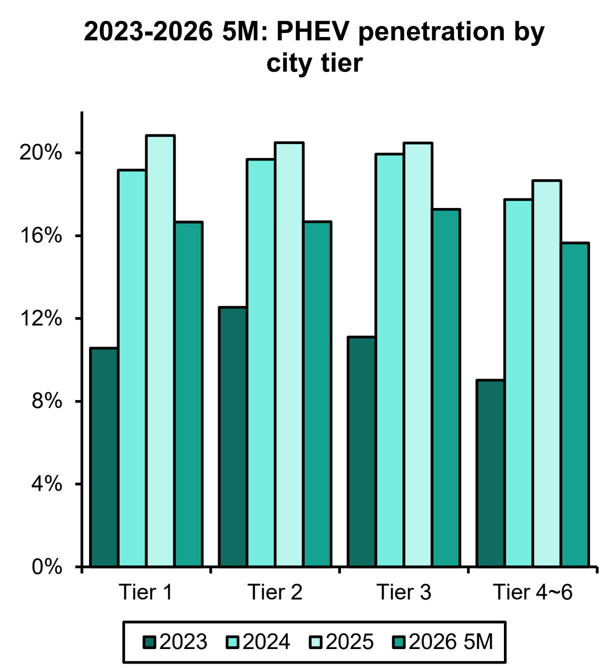
Source: C.A.D. and Bernstein analysis

EXHIBIT 10: **By city tier, BEV penetration rates in Tier 1, 2, and 3 cities came at 42%, 37%, and 32% as of May 2026**



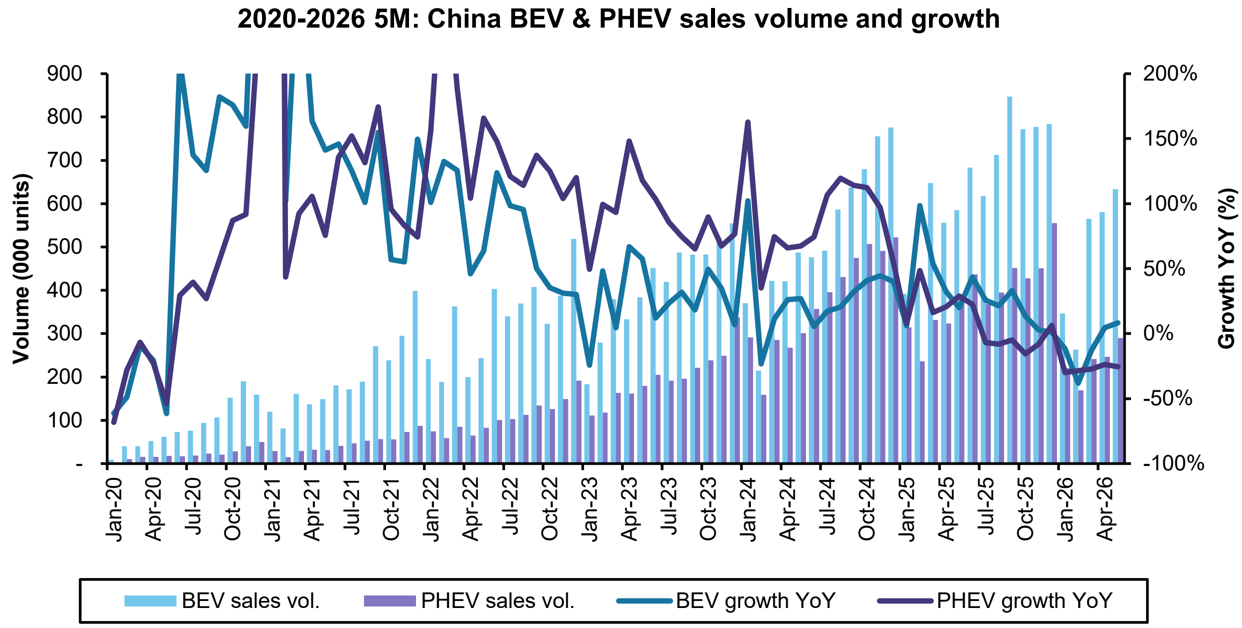
Source: C.A.D. and Bernstein analysis

EXHIBIT 11: **PHEV penetration maintained 17% across Tier 1, 2, and 3 cities**



Source: Z:\Industry data\Sales Volume/CAM NEV INSURANCE.xlsx

EXHIBIT 12: **In May 2026, BEV sales grew +8.3% yoy and PHEV decelerated to -25.4% yoy**



Source: C.A.D. and Bernstein analysis

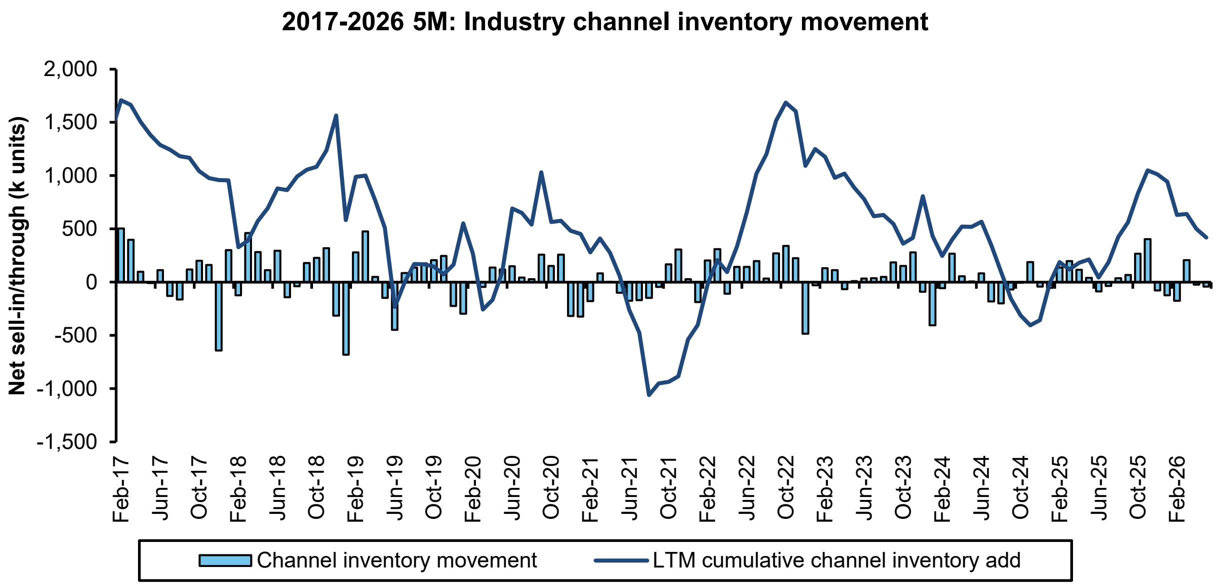
INVENTORY LEVELS IN CHECK

May retail volume stood at 1.48mn units, vs. 1.44mn units of domestic wholesale volumes reported by CAAM, which implies 40k units of net channel inventory de-stocking in April (vs.23k de-stocking in April). On the other hand, EVs saw a restocking of 120k units during the same period. (Exhibit 13 - Exhibit 14)

Like-for-like retail pricing declined 1,114 bps yoy in May 2026, compared with a 1,020 bps decline in April 2026, likely due to increasing competition pressure and de-stocking activities. We anticipate a moderation in pricing pressure in the longer term, supported by the government's anti-involution position and newly introduced rules that prohibit OEMs from pricing vehicles below cost (LINK). (Exhibit 15 - Exhibit 17)

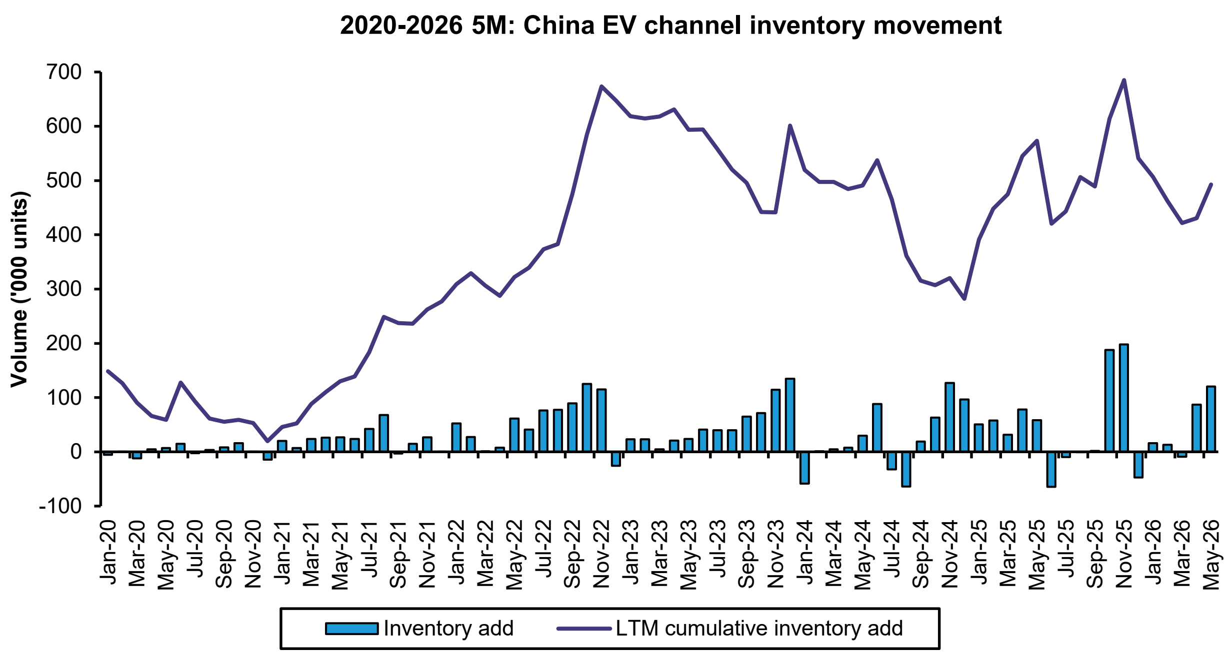
Dongfeng Nissan, SGM Wuling, and Geely have seen the most restocking on a cumulative LTM basis. Among EV pure players, Denza, Ora, and BYD's channel inventory levels are relatively high and above the 1.5 months benchmark, except for BYD. (Exhibit 18 — Exhibit 19)

EXHIBIT 13: **There were 40k units of net channel inventory destocking in May, compared to 23k net destocking in April**



Source: CAAM, C.A.D. and Bernstein analysis

EXHIBIT 14: **EV net channel inventory increased by 120k units in May and 87k units in April**

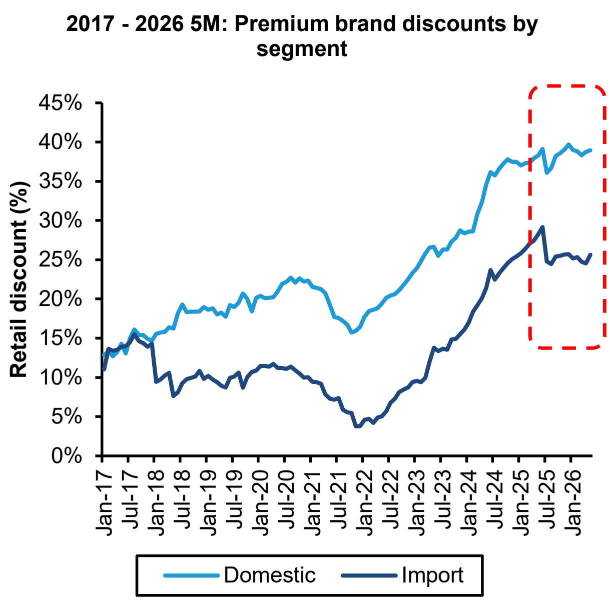


Source: CAAM, C.A.D., and Bernstein analysis

EXHIBIT 15: **Retail pricing sees moderate pressure due to the weak end-market demand; like-for-like pricing was -1,114 basis points in May, vs. -1,020 basis points yoy in April 2026**

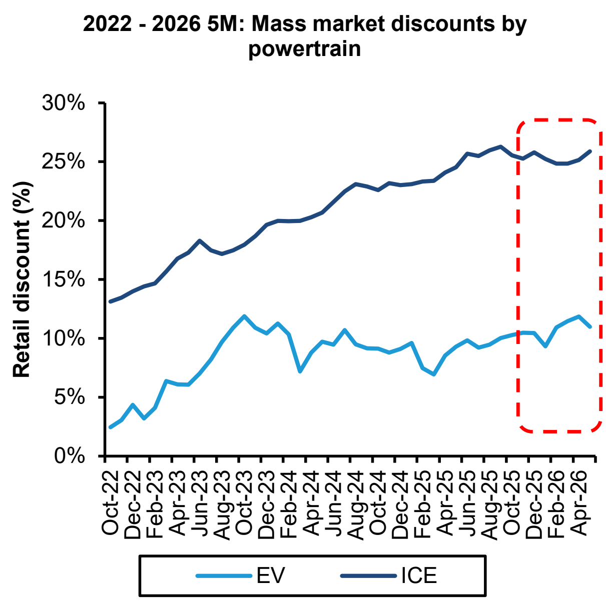
Source: C.A.D. and Bernstein analysis

EXHIBIT 16: **Both imported and domestic premium brand discounts increased moderately in May**



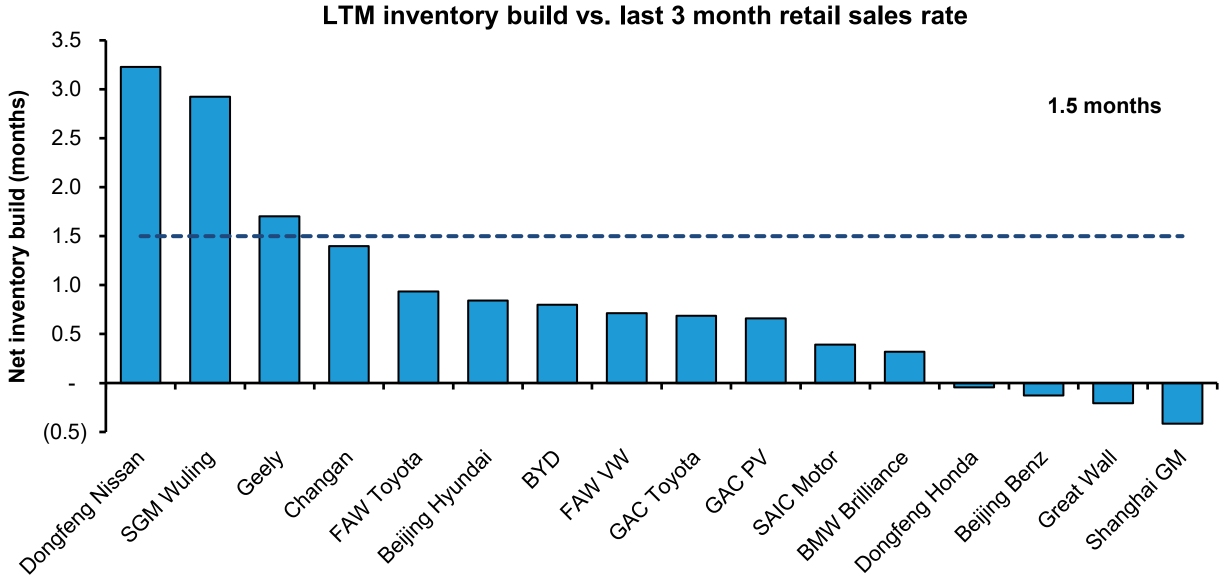
Source: C.A.D. and Bernstein analysis

EXHIBIT 17: **Mass market EV discounts declined moderately in April 2026, while IC discounts increased**



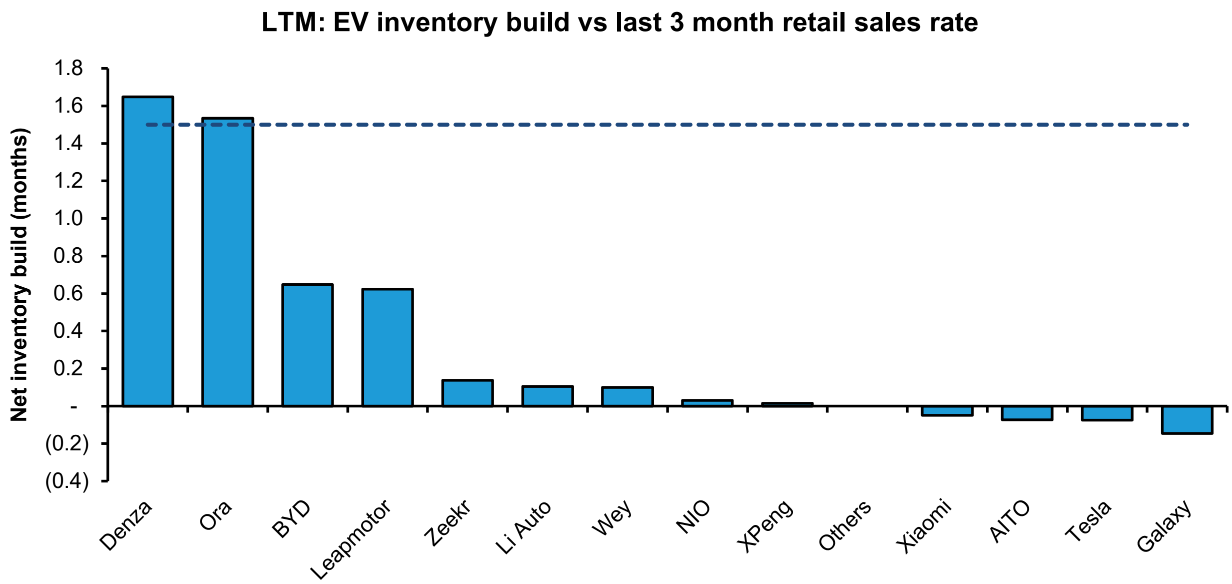
Source: C.A.D. and Bernstein analysis

EXHIBIT 18: **Dongfeng Nissan, SGM Wuling, and Geely have seen the most restocking on a cumulative LTM basis**



Source: CAAM, C.A.D., and Bernstein analysis

EXHIBIT 19: **Among EV pure players, Denza, Ora, BYD, Leapmotor and Zeeker's channel inventory levels are relatively high; conversely, Wey and Tesla destocked the most recently**

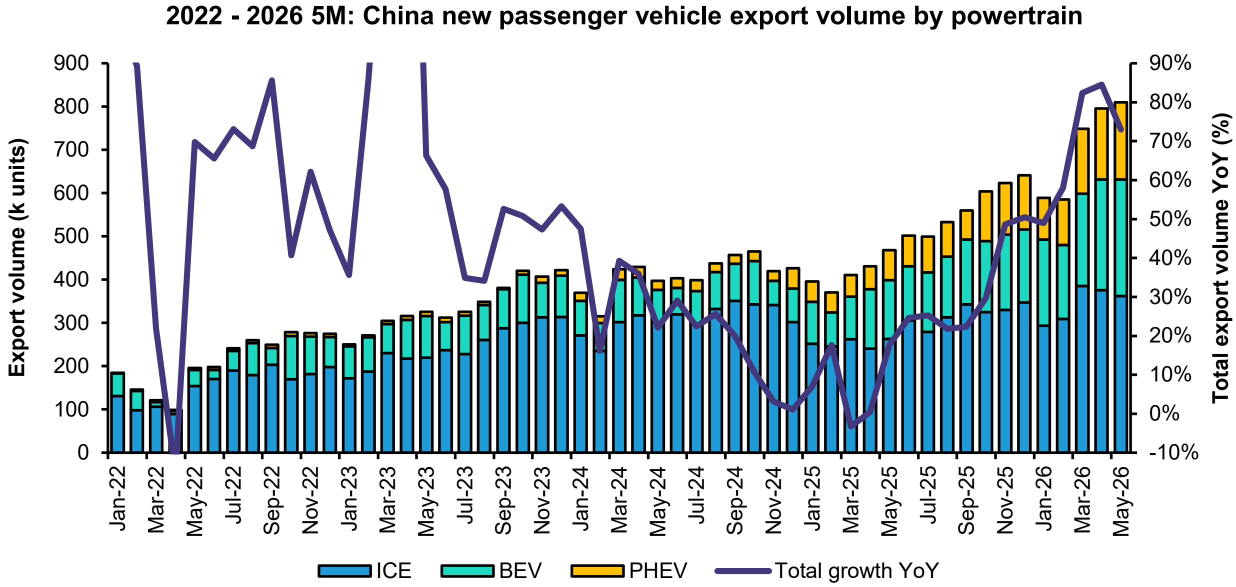


Source: CAAM, C.A.D., and Bernstein analysis

CHINA EXPORT MOMENTUM REMAINED STRONG, +73% YOY IN MAY

China's passenger vehicle exports grew +73% yoy in May, with ICE exports +38% and EV exports +119%. Exports made up 35.9% of total PV wholesale, partially offsetting the weak domestic demand. BEV & PHEV exports contributed c.55% of total export volume. Chery led with 179k units (+79% yoy), followed by BYD with 156k (+85%). Geely maintained the third place with 84k units (+180%), while SAIC ranked fourth with 72k units (+41%). Great Wall exported 45k units, +58% yoy. (Exhibit 20)

EXHIBIT 20: **Export volume in May 2026 grew +73% yoy — ICE +38%, EV +119%**

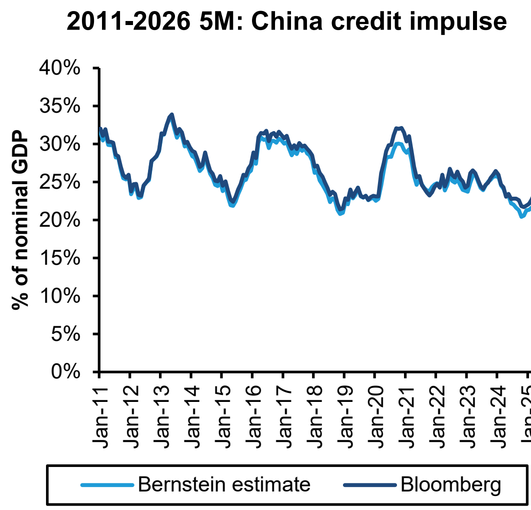


Source: CAAM and Bernstein analysis

CREDIT IMPULSE REMAINS WEAK

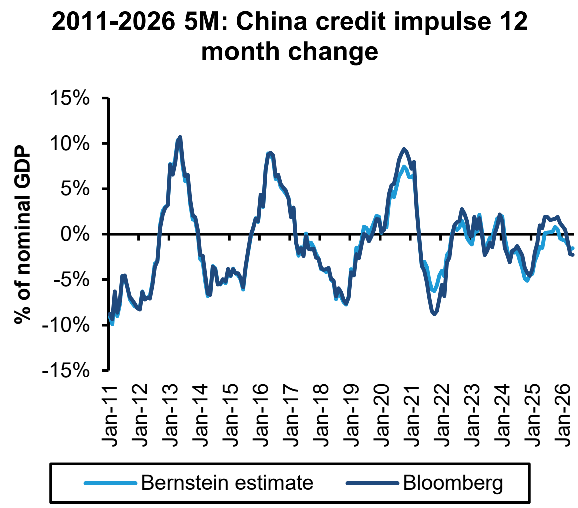
Our estimate for China's credit impulse came to 20.2% in May 2026, declining from 21.7% a year ago. 12 month change in Bloomberg's credit impulse deteriorated further to -2.3% this month, marking a continued downturn after its first negative print in March, which ended an 11-month period of positive momentum. (Exhibit 21 and Exhibit 22). We encourage monitoring credit levels closely. Historically, we have measured a meaningful positive correlation (c. 0.6) between China's auto demand and credit availability.

EXHIBIT 21: **We estimate China's credit impulse was 20.2% in May 2026...**



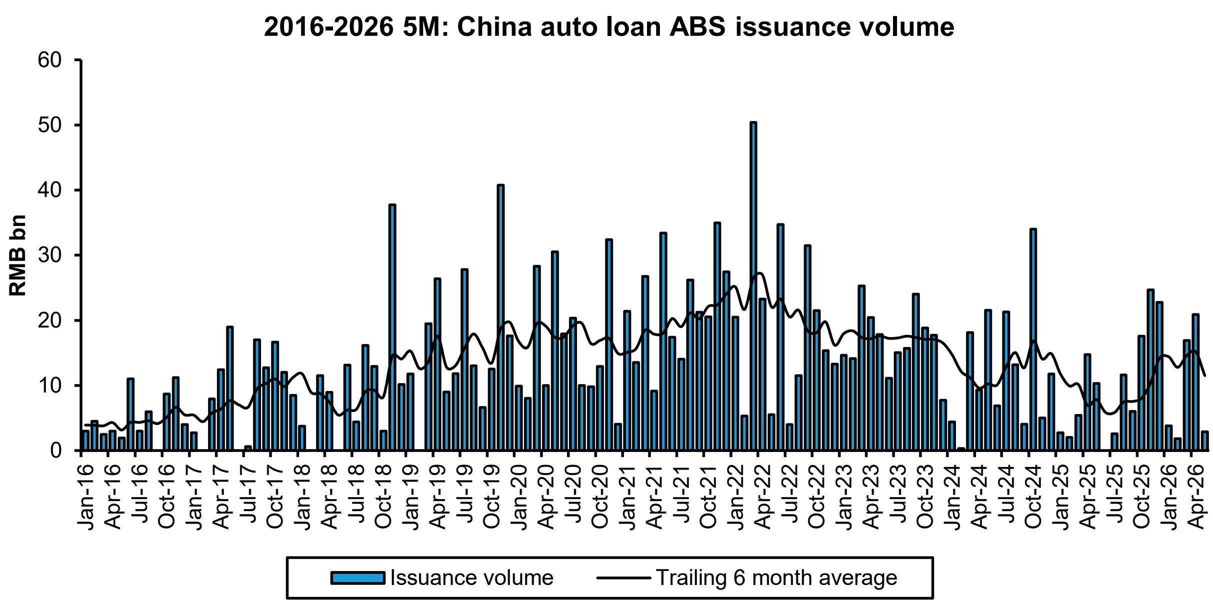
Source: PBOC, Bloomberg L.P., and Bernstein analysis

EXHIBIT 22: **... declining from 21.7% a year ago. 12 month change in Bloomberg's credit impulse deteriorated further to -2.3% this month, marking a continued downturn after its first negative print in March, which ended an 11-month period of positive momentum**



Source: PBOC, Bloomberg L.P., and Bernstein analysis

EXHIBIT 23: **Auto loan issuance volume rebounded in April 2026**



Source: Wind and Bernstein analysis

XPENG: MARKET-PERFORM, PT US$20.00/ HK$78.00 *(OLD: US$22.00/HK$86.00)*

Tactically positive on the new MONA launches. XPeng's stock has underperformed recently, largely due to concerns around GX deliveries tracking below expectations. However, we are turning more constructive on the stock from a tactical perspective. We see upcoming product launches as key near-term catalysts, starting with the new MONA L03 SUV. The company is set to unveil the L03 on July 2, with a market launch expected within the same month. We view this launch positively. XPeng's MONA brand is uniquely positioned in the mass-market segment, differentiated by its strong technology offering at an accessible price point. The MONA M03 sedan has demonstrated relatively resilient volumes, and the L03 marks the brand's first SUV entry. Looking ahead, XPeng also plans to introduce the L05. We expect the L03 to be a compact coupe SUV priced in the RMB100-150k range, closely aligned with or slightly above the M03. The L05, a mid-to-large SUV slightly larger than the XPeng G6, is likely to be priced between RMB150-200k. Both models are expected to offer BEV and EREV variants. While we remain mindful of potential cannibalization risk to the G6, we believe these new launches will inject product freshness, drive consumer interest, and support showroom traffic.

Strong tech offering, but limited visibility on profitability keeps us from turning more positive. Despite our tactical positivity, we maintain a Market-Perform rating. Our caution primarily reflects limited visibility on achieving sustainable profitability. We acknowledge XPeng's technological progress—particularly in ADAS and its VLA 2.0 platform, which are among industry leaders. The company is also advancing in robotaxi and humanoid development, offering differentiated long-term opportunities. However, these initiatives are capital-intensive. Hence, although XPeng reported profitability in Q4 25, we expect the company to remain loss-making for the full year 2026. We have lowered our price target to US$20.00 (from US $22.00), reflecting a reduced EV/sales multiple as we factor in a longer path to sustained profitability amid increased AI-related investments, including autonomous driving, robotaxi, and humanoid initiatives, with limited near-term monetization visibility.

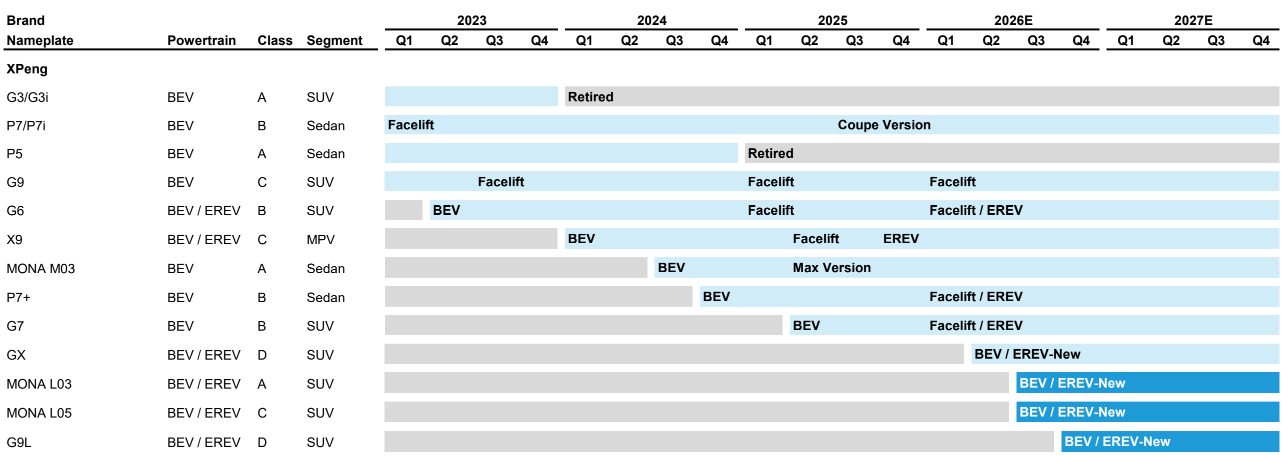
We maintain Market-Perform on XPeng. We now project 2026/2027 vehicle sales volumes of 504k / 576k units. Revenue is expected to reach RMB95.7bn / RMB115.0bn, with gross margins of 18.9% / 19.6%, and EPS of RMB -1.02 / 0.23, respectively. Our revised price targets are US$20.00 for XPEV.US *(Old: US$22.00)* and HK$78.00 for 9868.HK *(Old: HK $86.00)*, based on a 1-year forward EV/sales multiple of 0.8x (previously 1.0x). The lower multiple reflects reduced earnings visibility due to elevated AI-related investments. (Exhibit 24, Exhibit 25, Exhibit 28)

Related research:

29 May 2026 - XPeng: Q1 Resilient gross margin; Bullish tone on GX

9 Mar 2026 - XPeng: VLA 2.0 delivers strong step-up in ADAS capability — Guangzhou test ride takeaways

EXHIBIT 24: **XPeng has introduced EREV trims for the X9, P7+, G7, and G6 through Q1 2026; it also launched the new GX SUV in May, and plans to roll out two MONA SUVs and a G9L SUV in the rest of 2026**



Source: Company reports, media report, Bernstein estimates and analysis

EXHIBIT 25: **XPeng: Summary of estimates**

XPeng: Summary of estimates

	Revenue (RMB mn)				EBIT (RMB mn)				Earnings/(loss) per share (RMB)			
	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
Bernstein - New	**76,720**	**95,742**	**115,042**	**128,705**	**(2,771)**	**(2,655)**	**(292)**	**969**	**(0.60)**	**(1.02)**	**0.23**	**0.79**
Bernstein - Old		92,508	112,985	126,150		(3,777)	(132)	558		(1.50)	0.30	0.60
Difference		3%	2%	2%		30%	-122%	74%		32%	-24%	30%
Consensus		93,137	119,066	135,725		(2,797)	311	2,900		(0.55)	1.14	2.07
Difference		3%	-3%	-5%		5%	-194%	-67%		-86%	-80%	-62%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

LI AUTO: MARKET-PERFORM, PT US$15.50/HK$61.00 (OLD: US$19.00/HK$74.00)

We maintain our Market-Perform rating on Li Auto. While the company is rolling out a new generation of L-series EREVs and accelerating global expansion, we see limited upside due to intensifying competition, margin pressure, and rising investment. We expect Li Auto to turn net loss this year.

The roll-out of new generation L-series EREVs is a positive, but may not be enough. Li Auto launched the next-generation L9, including the premium Livis trim, in May, with over 10k orders in the first two weeks. A five-seater L8 will launch on June 23rd, with L7 updates later this year. Despite strong product competitiveness, we do not expect these launches to drive a meaningful turnaround given increasing competition in the PHEV/EREV SUV space—from Huawei as well as new entrants such as XPeng and Xiaomi. As a result, returning to prior peak volumes will be challenging. Li Auto is also stepping up overseas expansion, with L-series EREVs planned for the Middle East and Central Asia in Q3 26, the i6 BEV in Europe in 2H 26, and MEGA entering ASEAN markets (including Hong Kong and Singapore) by year-end. While strategically positive with good product-market fit, international growth will take time to scale and is unlikely to offset near-term pressure.

Margins to likely remain under strain. The i6 delivers only single-digit gross margins (below mid-teens targets), while rising battery and memory costs further weigh on profitability. At the same time, increased R&D spending—particularly on AI—continues to pressure earnings. Although Li Auto's strong cash position provides some valuation support, ongoing operating losses imply continued cash burn, which may erode this floor over time.

We maintain Market-Perform on Li Auto. We now forecast 2026/2027 sales volumes of 426k/474k units and revenue of RMB110.8bn/ RMB127.2bn. Gross margin is revised down to 12.9%/16.7%, with EPS at RMB -2.44 / RMB 1.13. The downgrade reflects weaker volumes amid heightened competition and softer profitability due to cost inflation and higher R&D. We reiterate our Market-Perform rating and lower our price targets to US$15.50 *(Old: US$19.00)* for LI.US and HK$61.00 *(Old: HK$74.00)* for 2015.HK, based on a blended 0.5x 1-year forward EV/sales and 15x P/E *(unchanged)*. We also factored in cash balance in our consideration. (Exhibit 26, Exhibit 27, Exhibit 29)

Related research:

29 May 2026 - Li Auto: Q1 margin slump on i6, widened losses; International expansion accelerates but turnaround unclear

19 Aug 2025 - Li Auto: Bumpier road ahead — Downgrade to Market-Perform, Lower PT to US$26.00

EXHIBIT 26: **Li Auto launched the new generation L9, including the introduction of the premium Livis trim, in May; it is also set to launch a new 5-seater version of the L8 on June 23rd, with updates to the L7 expected later in the year**

				2023				2024				2025				2026E				2027E			
Nameplate	Powertrain	Class	Segment	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
LI																							
One	EREV	C	SUV	Retired (from Oct 2022)																			
L9	EREV	D	SUV	Gen 1 (from Jun 2022)				Refresh					Facelift				Gen 2						
L8	EREV	C	SUV	Gen 1 (from Sep 2022)				Refresh					Facelift				Gen 2						
L7	EREV	C	SUV	New				Refresh					Facelift					Gen 2					
MEGA	BEV	E	MPV					New					Facelift; Home trim										
L6	EREV	C	SUV						New				Facelift							Gen 2			
i8	BEV	C	SUV											New									
i6	BEV	C	SUV											New									
i9	BEV	D	SUV																New				

Source: Company reports, IHS, media reports, Bernstein estimates and analysis

EXHIBIT 27: **Li Auto: Summary of estimates**

Li Auto: Summary of estimates

	Revenue (RMB mn)				Operating income (RMB mn)				Earnings/(loss) per share (RMB)			
	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E	2025	2026E	2027E	2028E
Bernstein - New	**112,313**	**110,811**	**127,232**	**139,854**	**(521)**	**(7,170)**	**706**	**4,144**	**0.57**	**(2.44)**	**1.13**	**2.58**
Bernstein - Old		123,293	145,764	160,701		(4,140)	5,606	6,733		(1.17)	3.20	3.67
Difference		-10%	-13%	-13%		73%	-87%	-38%		109%	-65%	-30%
Consensus		125,513	155,852	173,238		(2,432)	3,421	6,438		(0.37)	2.12	3.18
Difference		-12%	-18%	-19%		195%	-79%	-36%		559%	-46%	-19%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 28: **XPeng's financial statements**

RMB million	2023	2024	2025	2026E	2027E	2028E
INCOME STATEMENT						
Revenue	**30,676**	**40,866**	**76,720**	**95,742**	**115,042**	**128,705**
Growth %	*14.2%*	*33.2%*	*87.7%*	*24.8%*	*20.2%*	*11.9%*
Cost of goods sold	(30,225)	(35,021)	(62,247)	(77,640)	(92,481)	(102,653)
Gross profit / (loss)	**451**	**5,846**	**14,473**	**18,102**	**22,561**	**26,052**
Margin %	*1.5%*	*14.3%*	*18.9%*	*18.9%*	*19.6%*	*20.2%*
Research and development expenses	(5,277)	(6,457)	(9,490)	(12,407)	(13,500)	(14,500)
Selling, general and administrative expenses	(6,559)	(6,871)	(9,398)	(9,183)	(10,354)	(11,583)
EBIT	**(10,889)**	**(6,658)**	**(2,771)**	**(2,655)**	**(292)**	**969**
Margin %	*-35.5%*	*-16.3%*	*-3.6%*	*-2.8%*	*-0.3%*	*0.8%*
Other income/(loss), net	496	827	1,615	862	800	800
Profit/ (loss) before income tax expense	**(10,394)**	**(5,831)**	**(1,157)**	**(1,794)**	**508**	**1,769**
Margin %	*-33.9%*	*-14.3%*	*-1.5%*	*-1.9%*	*0.4%*	*1.4%*
Income tax expense	(37)	70	(14)	(136)	(76)	(265)
Net profit/ (loss)	**(10,376)**	**(5,790)**	**(1,139)**	**(1,942)**	**431**	**1,503**
Accretion on convertible redeemable preferred shares to redemption value	-	-	-	-	-	-
Net profit/ (loss) attributable to ordinary shareholders	**(10,376)**	**(5,790)**	**(1,139)**	**(1,942)**	**431**	**1,503**
Earnings/ (loss) per ordinary share	**(5.96)**	**(3.06)**	**(0.60)**	**(1.02)**	**0.23**	**0.79**
Earnings/ (loss) per ADS	**(11.92)**	**(6.12)**	**(1.20)**	**(2.03)**	**0.45**	**1.57**
CASH FLOW STATEMENT	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Net profit/ (loss) from continuing operations	**(10,376)**	**(5,790)**	**(1,139)**	**(1,942)**	**431**	**1,503**
Depreciation and amortization	1,646	1,572	1,805	2,068	2,234	2,401
Share of losses of equity method investees	(97)	50	(286)	-	-	-
Other adjustments	2,431	2,600	1,984	583	583	583
Cash flows before change in net working capital	(6,396)	(1,569)	2,363	709	3,249	4,488
Total net change in working capital	7,352	(443)	5,896	2,178	6,147	4,466
Net cash used in continuing operating activities	**956**	**(2,012)**	**8,259**	**2,887**	**9,396**	**8,953**
% of revenue	*3.1%*	*-4.9%*	*10.8%*	*3.0%*	*8.2%*	*7.0%*
Purchase of property, plant and equipment and intangible assets	(2,096)	(2,226)	(3,156)	(2,000)	(2,000)	(2,000)
Other	2,727	971	(4,179)	-	-	-
Net cash used in investing activities	**631**	**(1,255)**	**(7,334)**	**(2,000)**	**(2,000)**	**(2,000)**
Net cash provided by financing activities	**8,015**	**669**	**515**	**-**	**-**	**-**
Effects of exchange rate changes on cash and cash equivalents	(15)	36	223	-	-	-
Net (decrease)/ increase in cash, cash equivalents and restricted cash	9,588	(2,562)	1,661	887	7,396	6,953
Free cash flow	**(1,132)**	**(4,069)**	**5,155**	**887**	**7,396**	**6,953**
BALANCE SHEET	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash and cash equivalents, time deposits and short-term investments	34,059	34,782	35,086	35,973	43,370	50,323
Trade receivable	2,716	2,450	1,997	2,775	3,334	3,730
Inventory	5,526	5,563	10,381	9,943	11,844	13,146
Prepayments and other current assets	2,489	3,135	5,297	3,305	1,986	1,111
Short-term investments	781	751	3,217	3,217	3,217	3,217
Other current assets	8,950	3,055	7,276	8,157	9,051	9,684
Total current assets	**54,522**	**49,736**	**63,254**	**63,370**	**72,801**	**81,211**
Property, plant and equipment, net	10,954	11,522	13,527	13,460	13,225	12,824
Operating lease right of use assets, net	1,456	1,262	3,731	3,731	3,731	3,731
Intangible assets, net	4,949	4,610	4,253	3,670	3,087	2,503
Other non-current assets	12,282	15,576	18,397	18,397	18,397	18,397
Total non-current assets	**29,641**	**32,970**	**39,909**	**39,258**	**38,440**	**37,456**
Total assets	**84,163**	**82,706**	**103,163**	**102,628**	**111,241**	**118,667**
Short-term borrowings	3,889	4,609	4,282	4,282	4,282	4,282
Trade and notes payable	22,210	23,080	37,163	37,571	44,752	49,675
Accruals and other liabilities	7,580	8,651	12,539	13,539	14,539	15,539
Other current liabilities	2,432	3,525	4,129	4,129	4,129	4,129
Total current liabilities	**36,112**	**39,865**	**58,113**	**59,521**	**67,702**	**73,625**
Long-term borrowings	5,651	5,665	6,589	6,589	6,589	6,589
Operating lease liabilities, non-current	1,491	1,346	4,247	4,247	4,247	4,247
Other non-current liabilities	4,581	4,556	3,845	3,845	3,845	3,845
Total liabilities	**47,834**	**51,431**	**72,794**	**74,202**	**82,383**	**88,305**
Total shareholders' (deficit)/equity	**36,329**	**31,275**	**30,369**	**28,427**	**28,858**	**30,361**
Total liabilities, mezzanine equity and shareholders' (deficit)/equity	**84,163**	**82,706**	**103,163**	**102,628**	**111,241**	**118,667**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 29: **Li Auto's financial statements**

RMB million	2023	2024	2025	2026E	2027E	2028E
INCOME STATEMENT						
Revenue	**123,851**	**144,460**	**112,313**	**110,811**	**127,232**	**139,854**
Growth %	*173.5%*	*16.6%*	*-22.3%*	*-1.3%*	*14.8%*	*9.9%*
Cost of goods sold	(96,355)	(114,804)	(91,327)	(96,550)	(106,033)	(113,833)
Vehicle sales	25,812	27,417	19,092	12,122	18,736	23,313
Other sales and services	1,684	2,239	1,893	2,139	2,464	2,708
Gross profit / (loss)	**27,497**	**29,656**	**20,985**	**14,261**	**21,200**	**26,021**
Margin %	*22.2%*	*20.5%*	*18.7%*	*12.9%*	*16.7%*	*18.6%*
Vehicle gross margin	*21.5%*	*19.8%*	*17.9%*	*11.6%*	*15.6%*	*17.6%*
Other sales gross margin	*47.4%*	*37.8%*	*33.6%*	*34.9%*	*35.0%*	*35.0%*
Research and development expenses	(10,586)	(11,071)	(11,315)	(11,922)	(11,451)	(12,587)
Selling, general and administrative expenses	(9,768)	(12,229)	(10,665)	(9,849)	(9,542)	(9,790)
EBIT	**7,407**	**7,019**	**(521)**	**(7,170)**	**706**	**4,144**
Margin %	*6.0%*	*4.9%*	*-0.5%*	*-6.5%*	*0.6%*	*3.0%*
Other income/(loss), net	3,045	2,297	1,818	1,898	2,000	2,000
Profit/loss before income tax expense	**10,452**	**9,316**	**1,297**	**(5,273)**	**2,706**	**6,144**
Margin %	*8.4%*	*6.4%*	*1.2%*	*-4.8%*	*2.1%*	*4.4%*
Income tax expense	1,357	(1,270)	(158)	325	(406)	(922)
Net profit/ (loss) from continuing operations	**11,809**	**8,045**	**1,139**	**(4,948)**	**2,300**	**5,222**
Net profit/ (loss) from discontinued operations, net of tax	-	-	-	-	-	-
Net profit/ (loss)	**11,809**	**8,045**	**1,139**	**(4,948)**	**2,300**	**5,222**
Accretion on convertible redeemable preferred shares to redemption value	-	-	-	-	-	-
Deemed dividend to preferred shareholders upon extinguishment, net	-	-	-	-	-	-
Effect of FX changes on convertible redeemable preferred shares	-	-	-	-	-	-
Net profit/ (loss) attributable to ordinary shareholders	**11,704**	**8,045**	**1,139**	**(4,948)**	**2,300**	**5,222**
Earnings/(loss) per ordinary share	**5.95**	**4.04**	**0.57**	**(2.44)**	**1.13**	**2.58**
Earnings/(loss) per ADS	**11.90**	**8.07**	**1.13**	**(4.88)**	**2.27**	**5.15**
CASH FLOW STATEMENT						
Net profit/ (loss) from continuing operations	**11,809**	**8,045**	**1,139**	**(4,948)**	**2,300**	**5,222**
Depreciation and amortization	1,805	3,058	4,635	4,986	5,354	5,770
Share of losses of equity method investees	10	4	1	-	-	-
Other adjustments	458	2,756	739	-	-	-
Cash flows before change in net working capital	14,081	13,863	6,515	38	7,654	10,993
Total net change in working capital	36,612	2,070	(15,126)	1,161	4,213	3,862
Net cash used in operating activities	**50,694**	**15,933**	**(8,611)**	**1,198**	**11,867**	**14,855**
Purchase of property, plant and equipment and intangible assets	(6,507)	(7,730)	(4,206)	(4,416)	(5,000)	(5,000)
Other	6,495	(33,407)	3,502	-	-	-
Net cash used in investing activities	**(12)**	**(41,137)**	**(703)**	**(4,416)**	**(5,000)**	**(5,000)**
Net cash provided by financing activities	**185**	**(416)**	**767**	**-**	**-**	**-**
Effects of exchange rate changes on cash and cash equivalents	45	198	(453)	-	-	-
Net (decrease)/ increase in cash, cash equivalents and restricted cash	50,911	(25,422)	(9,000)	(3,217)	6,867	9,855
Free cash flow	**44,186**	**8,203**	**(12,817)**	**(3,217)**	**6,867**	**9,855**
BALANCE SHEET						
Cash and cash equivalents, time deposits and short-term investments	103,263	112,813	101,239	98,022	104,889	114,744
Trade receivable	144	135	120	121	139	153
Inventory	6,872	8,186	8,752	9,258	10,168	10,916
Prepayments and other current assets	4,247	5,177	5,174	5,105	5,862	6,443
Assets held for sale, current	-	-	-	-	-	-
Total current assets	**114,526**	**126,310**	**115,286**	**112,507**	**121,058**	**132,256**
Total non-current assets	**28,942**	**36,039**	**39,010**	**38,440**	**38,087**	**37,316**
Total assets	**143,467**	**162,349**	**154,296**	**150,947**	**159,144**	**169,573**
Short-term borrowings	6,975	281	6,218	6,218	6,218	6,218
Trade and notes payable	51,870	53,596	40,579	39,678	43,575	46,781
Accruals and other liabilities	11,215	12,397	13,412	15,912	17,912	19,912
Convertible debts, current	-	-	-	-	-	-
Other current liabilities	2,683	2,941	3,338	3,338	3,338	3,338
Total current liabilities	**72,743**	**69,216**	**63,548**	**65,146**	**71,044**	**76,249**
Total liabilities	**82,892**	**91,029**	**81,156**	**82,755**	**88,652**	**93,858**
Total shareholders' (deficit)/equity	**60,575**	**71,320**	**73,140**	**68,192**	**70,493**	**75,715**
Total liabilities, mezzanine equity and shareholders' (deficit)/equity	**143,467**	**162,349**	**154,296**	**150,947**	**159,144**	**169,573**

Source: Company reports, Bernstein estimates and analysis

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